

EDEXCEL A LEVEL ECONOMICS

DIAGRAM PRACTICE BOOK



Student Name:

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MACROECONOMICS

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MICROECONOMICS

SECTION 1 PPFS, MARKETS AND THE ALLOCATION OF RESOURCES

1

In the boxes below, draw the appropriate and fully labelled production possibility frontier as requested

A

A PPF showing balanced economic growth

B

A PPF showing that there are unemployed resources i.e. the allocation of resources is productively inefficient

C

A PPF showing an increase in production of capital goods but not consumer goods

D

A PPF demonstrating a trade off with capital goods as more consumer goods are produced

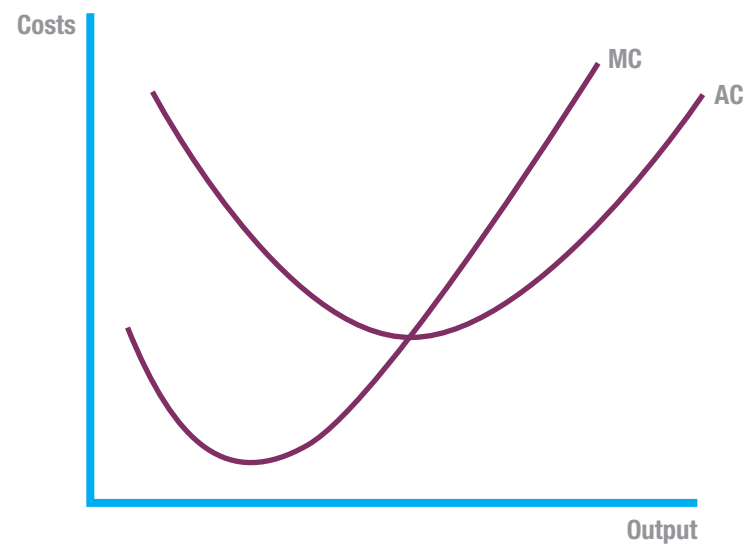
E

A PPF showing an increase in productivity in the capital goods industry, but not the consumer goods industry

F

A PPF demonstrating the impact of a natural disaster destroying a proportion of all factors of production

C Shade the area showing new total cost

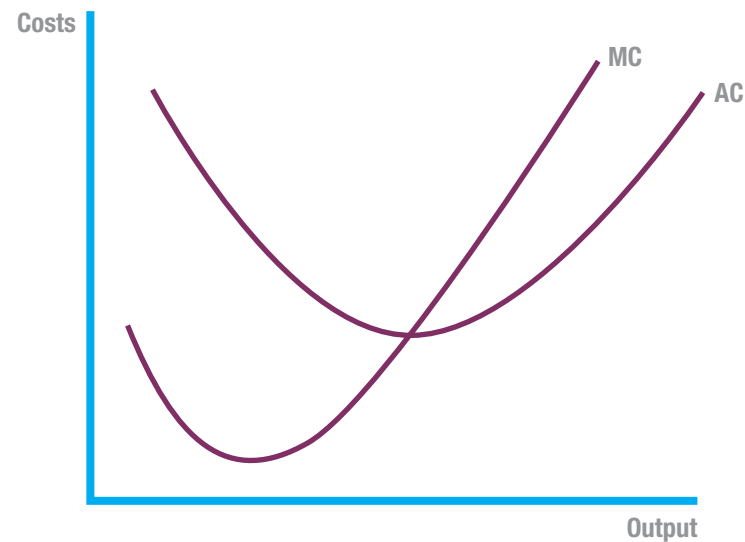


6 As the cost of collecting rubbish from the streets rises, the Town Council in Dilton has decided to raise the rent chargeable on the shops located in Main Street

A Define the terms 'fixed cost' and 'variable cost'

B Adapt the cost curves for hairdresser 'Crowning Glory' appropriately to reflect this change

C Shade the change in total cost if Crowning Glory attempts to minimise its average cost at all times

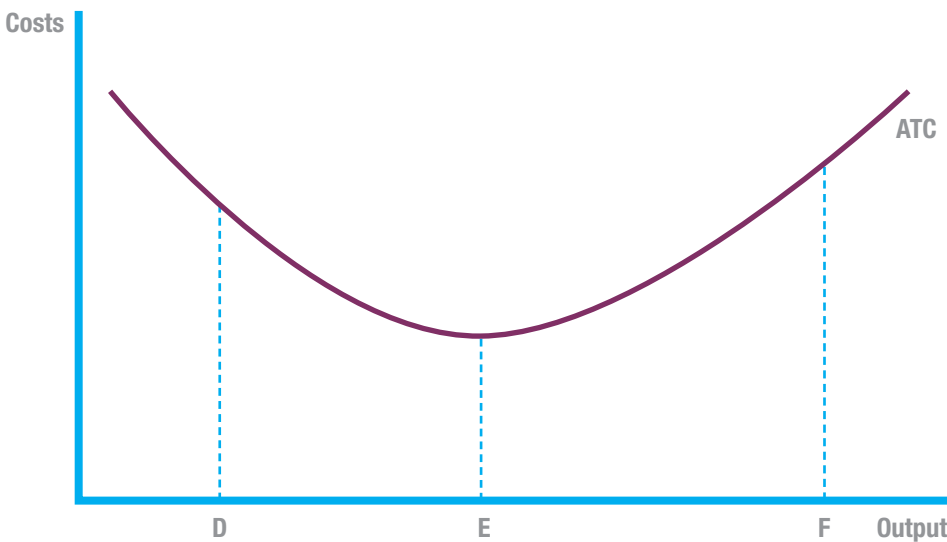


7 On this short run average cost diagram below, and using different colours / hatchings / shading, show the total cost when

A output is D

B output is E

C output is F



8 On the diagram below, indicate:

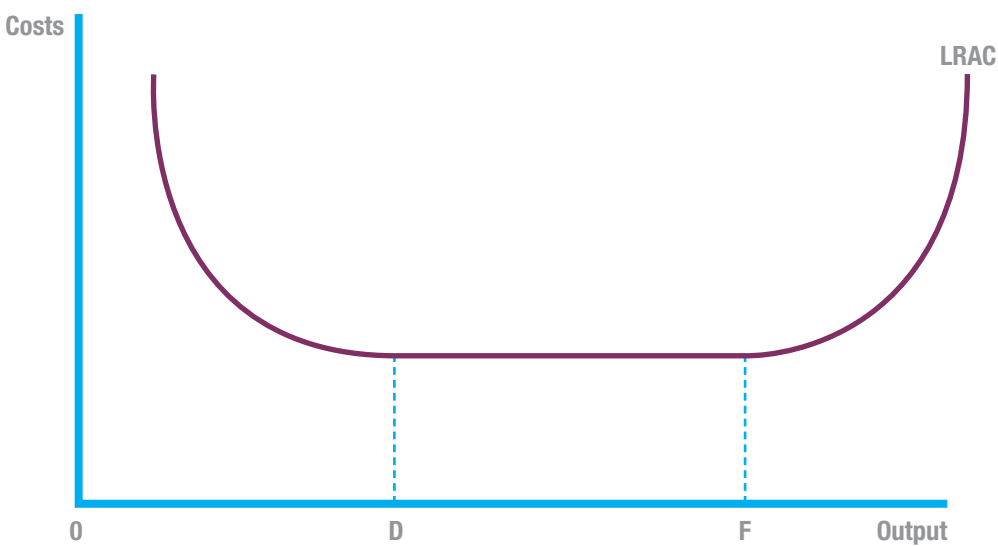
A the range of outputs over which economies of scale are experienced

B the range of outputs over which diseconomies of scale are experienced

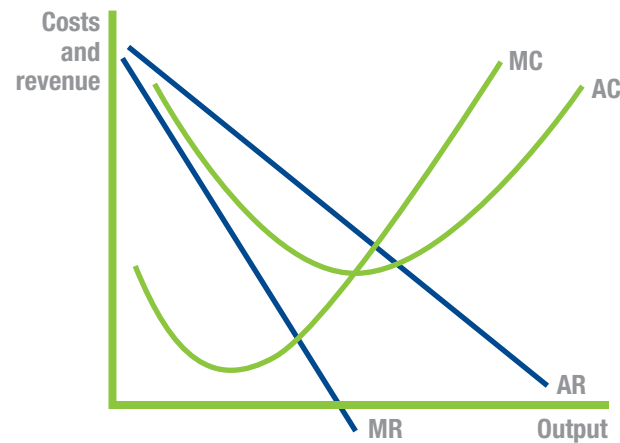
C the range of outputs over which constant returns to scale are experienced

D the smallest amount of output that can be made whilst being productively efficient

E the effect of external economies of scale

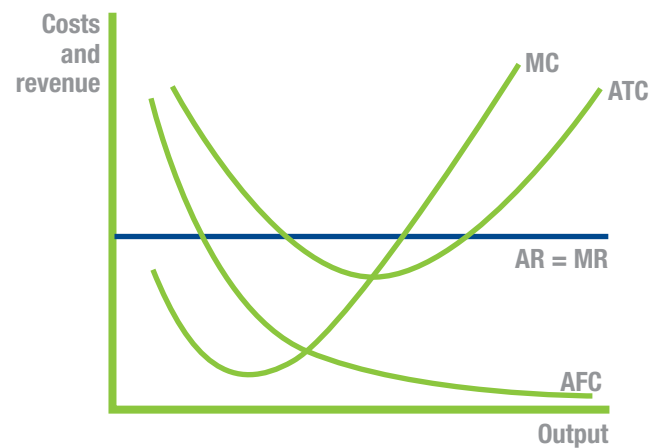


7 The diagram below represents a price-making profit-maximising firm. Adapt the diagram to illustrate the impact on i) price ii) output and iii) profit if the firm experiences a fall in demand



8 A hot chocolate vendor at a Christmas market faces significant competition from other hot chocolate vendors. The diagram below represents her profit-maximising business

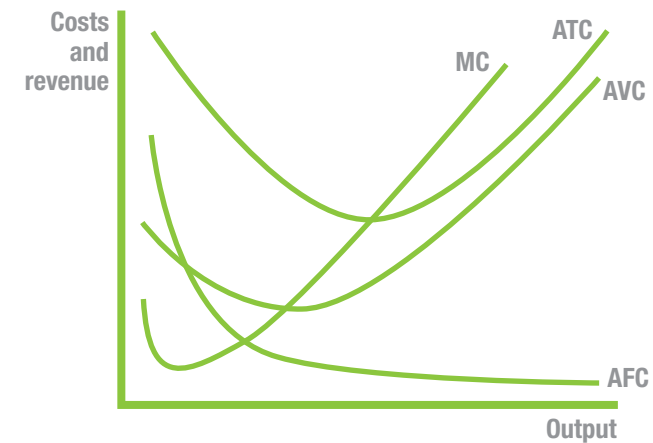
- Shade the area that corresponds to her total variable costs
- In a different colour, shade the area that corresponds to her total fixed costs



iii) The cost of renting her hot drinks cart from the manufacturer increases 20%. Draw your own diagram in the space below to show the impact of this change on i) price ii) output and iii) profit

9 A Write down the condition under which firms will shut down in the short-run

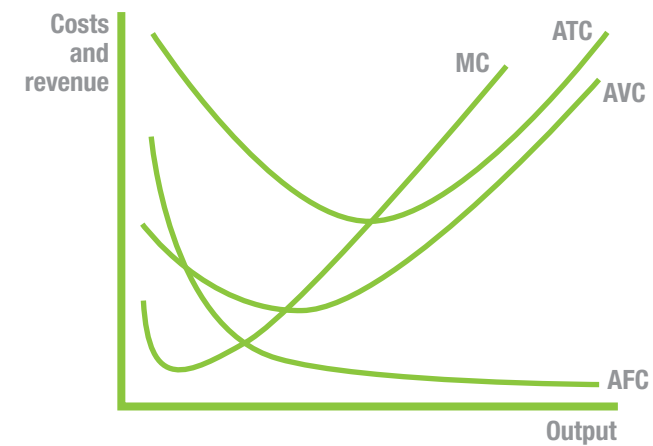
B Adapt the diagram below to show the short-run shut down point for a price-taking firm



C Write down the condition under which firms will shut down in the long-run

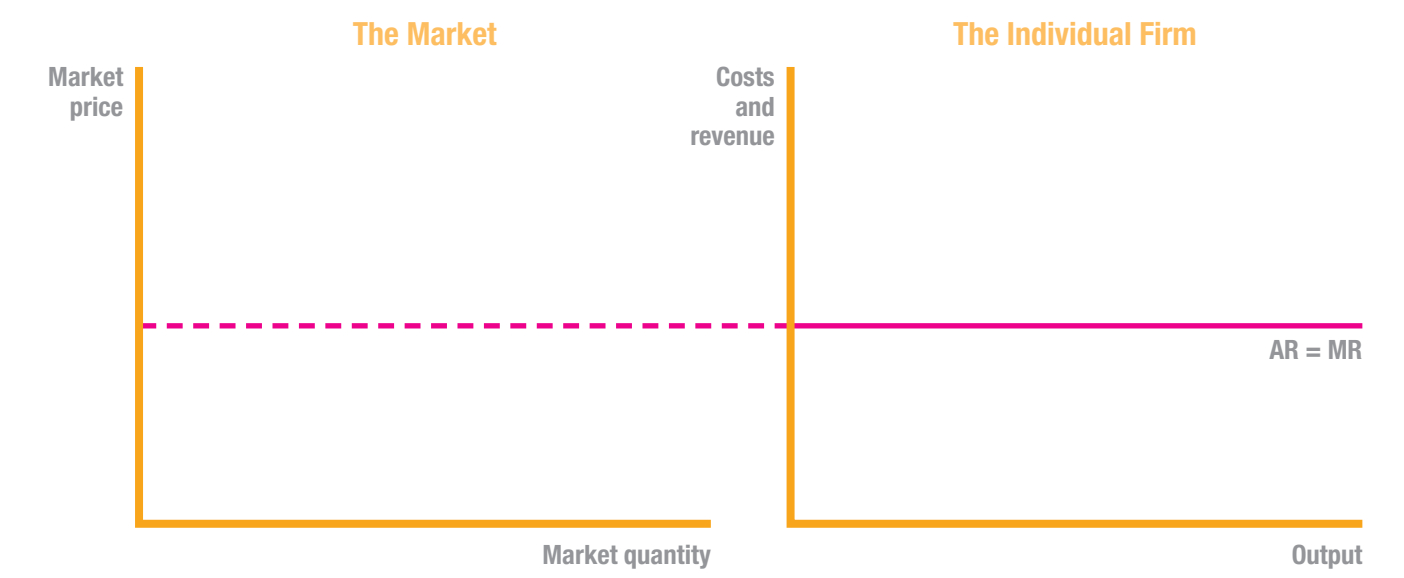
D Explain why this is a DIFFERENT condition to that in the short-run

E Adapt the diagram below to show the long-run shut down point for a price-taking firm



SECTION 5 MARKET STRUCTURES

1 In the double diagram below, show the long run equilibrium position for a perfectly competitive firm that has the objective of profit maximising. The diagram has been started for you

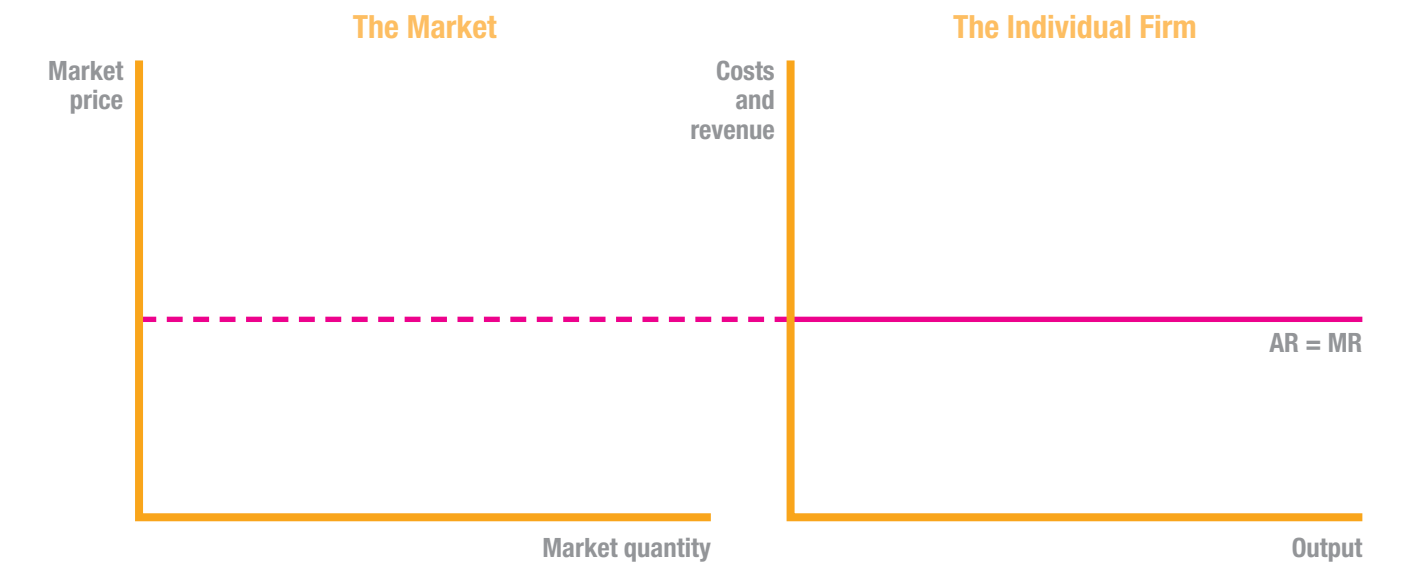


2 Using the double diagram below

A first show a perfectly competitive market, and an individual firm in that market, both in long-run equilibrium, as in question 1 above

B demonstrate what happens to the individual firm's position when a significant number of firms leave the market

C shade any areas of loss or supernormal profit

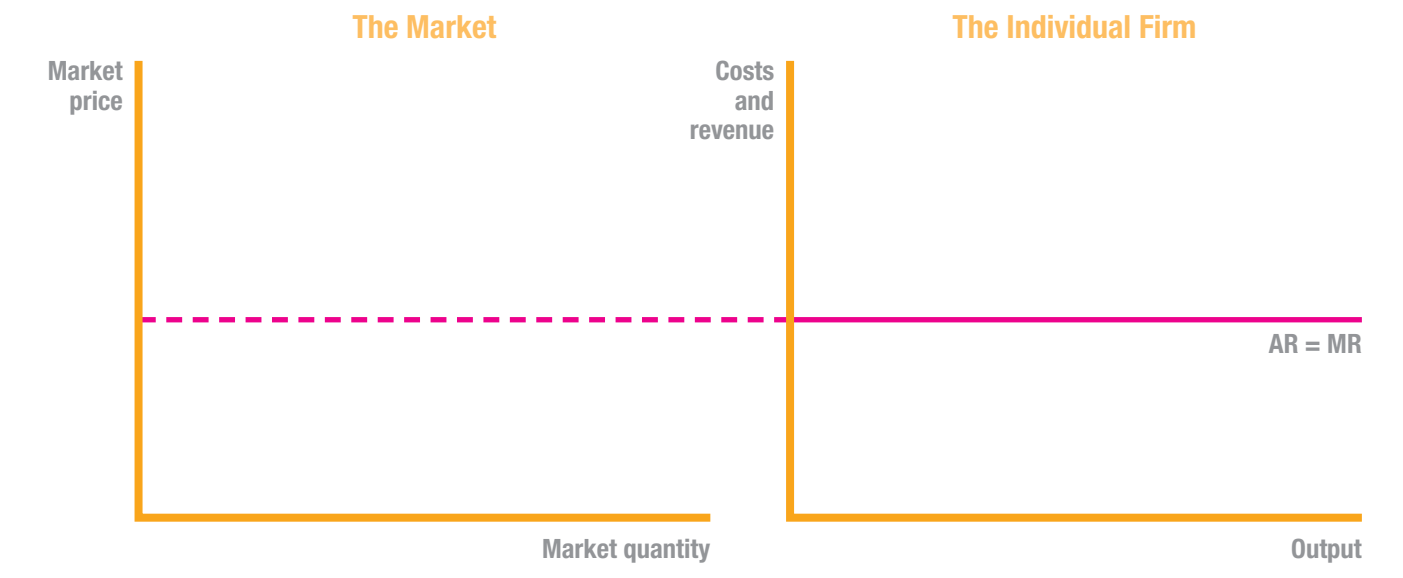


3 Using the double diagram below

A first show a perfectly competitive market, and an individual firm in that market, both in long-run equilibrium, as in questions 1 and 2 on the previous page

B demonstrate what happens to the individual firm's position when demand for the output falls in the market

C shade any areas of loss or supernormal profit



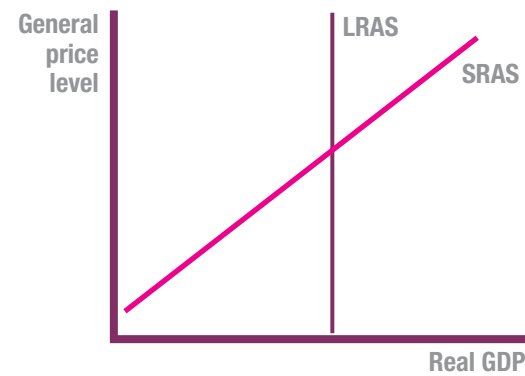
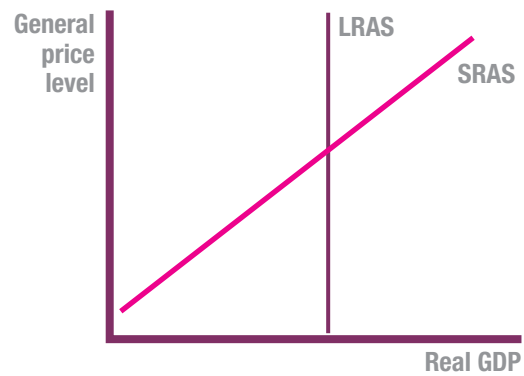
4 Walk & Go is a dog-walking service located in Warminster which aims to maximise its profits. Within a 15mile radius there are 6 other similar dog-walking services, each offering slightly different lengths of walks, giving the owners plenty of choice

A Briefly outline why Walk & Go most likely operates in a monopolistically competitive market

- 0

An ageing population, causing a shrinking in the population of working age
- P

Introduction of more free-market policies including increased privatisation and further deregulation



4

Keynesian versus Neoclassical perspectives

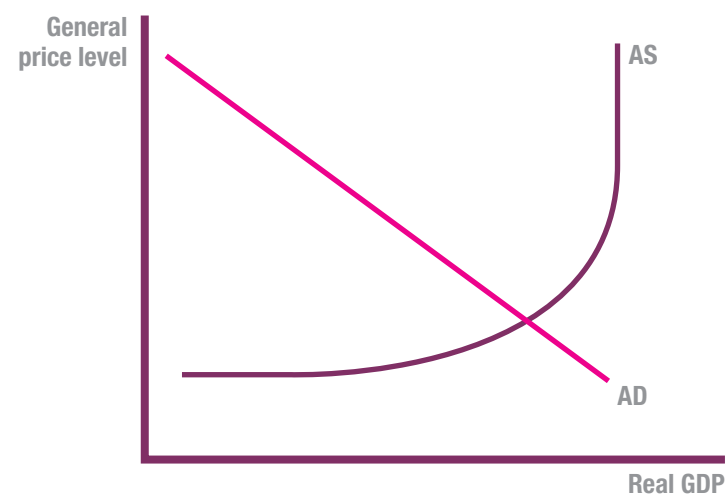
Outline 3 key differences between Keynesian and Neoclassical perspectives on the macroeconomy

- 1
- 2
- 3

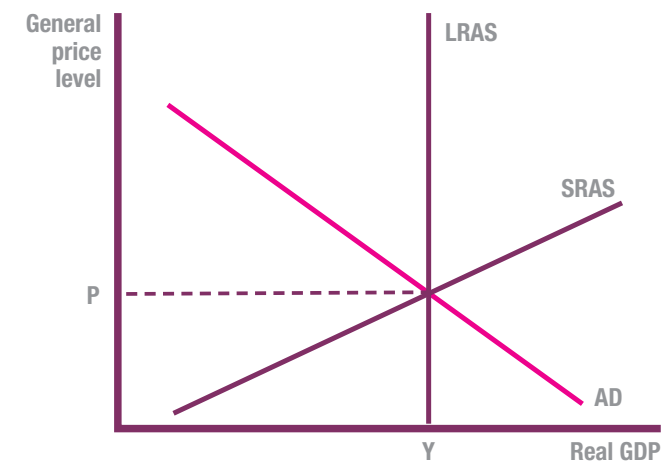
5

Keynesian AS curves

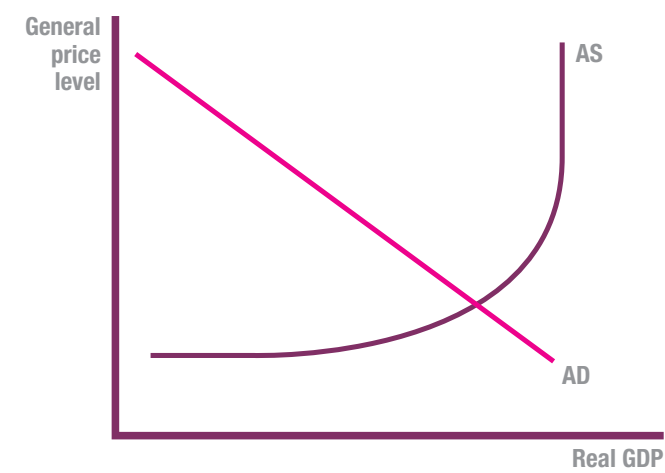
Using a Keynesian AD/AS diagram, show how rising government spending on infrastructure will affect the price level and amount of real GDP produced



Now represent the same scenario on a Neoclassical AD/AS diagram



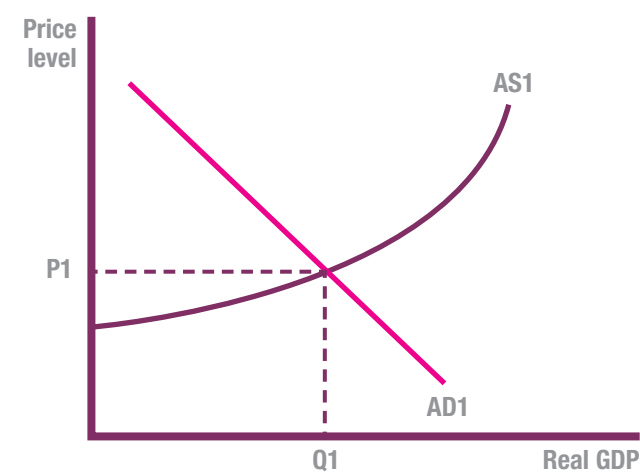
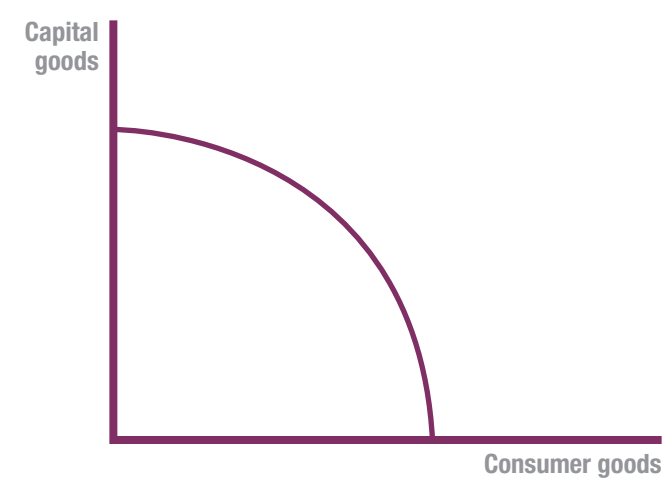
Using a Keynesian AD/AS diagram, show how net migration might affect the price level and amount of real GDP produced



6

PPFs and aggregate supply

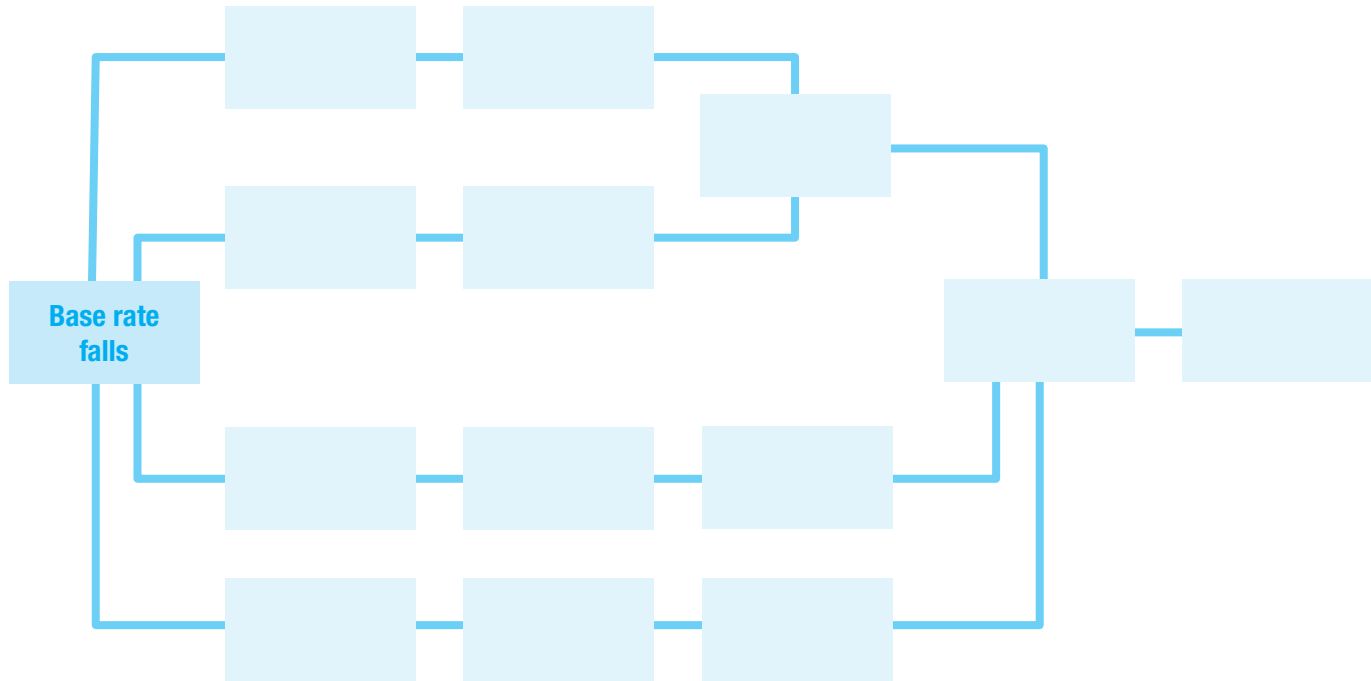
Here are two diagrams, showing the PPF and the Aggregate Supply for an economy



SECTION 3 FINANCIAL MARKETS AND MONETARY POLICY

1 Monetary policy transmission mechanism

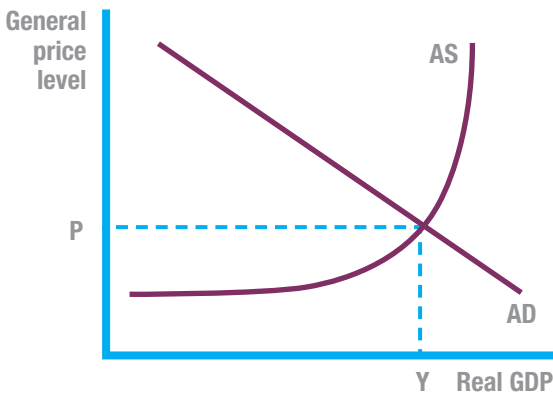
A The monetary policy transmission mechanism can demonstrate the links and relationships between changes in the base rate of interest ("Bank Rate"), and the price level and level of output in an economy. Complete the following transmission mechanism diagram using the terms in the boxes below



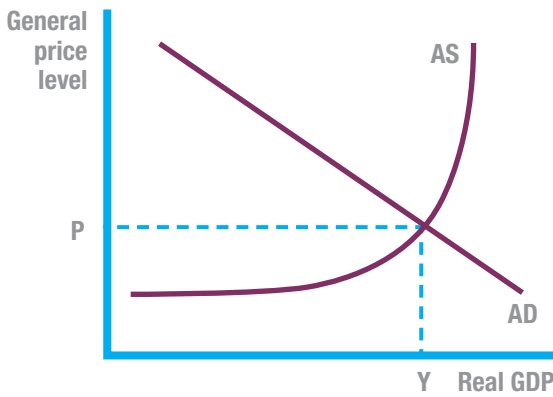
- | | | | |
|---|--|--|--|
| Increase in output
Increase in inflation | Commercial banks reduce their savings interest rates | Commercial banks reduce their mortgage rates | Consumption rises |
| Exports ↑
Imports ↓ | Borrowing ↑ | Base rate falls | Investment banks reduce their interest rates |
| ER falls | Savings falls | Hot money flows out | AD rises |
| | Investment rises | Discretionary income ↑ | |

B Adapt the AD/AS diagrams below to show the effects of each of the suggested changes to monetary policy

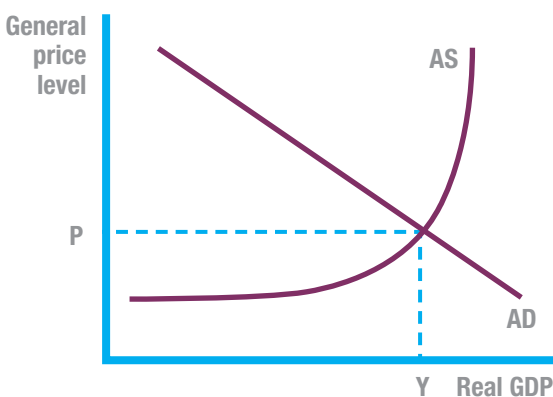
i) An increase in the base rate of interest set by the Central Bank



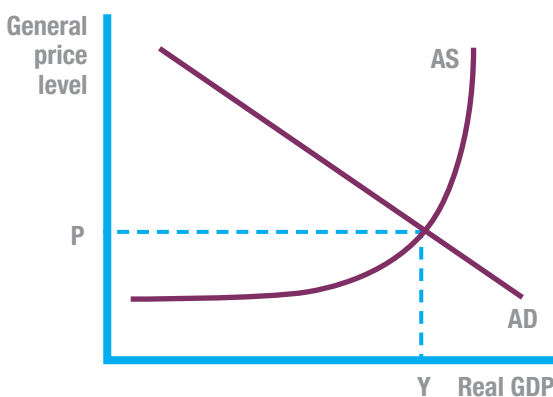
ii) Greater use of asset purchases (Quantitative Easing) by the Central Bank in response to falling confidence



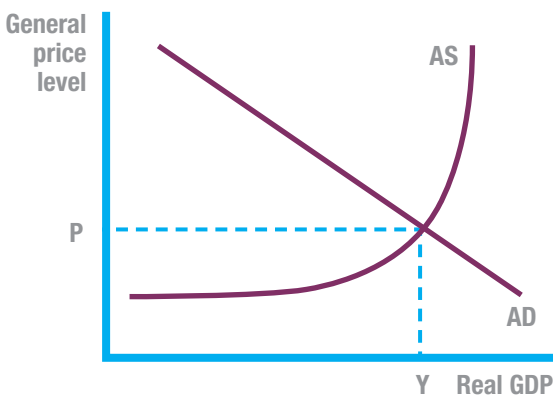
iii) The use of foreign exchange reserves to buy the domestic currency in order to engineer an increase in its value



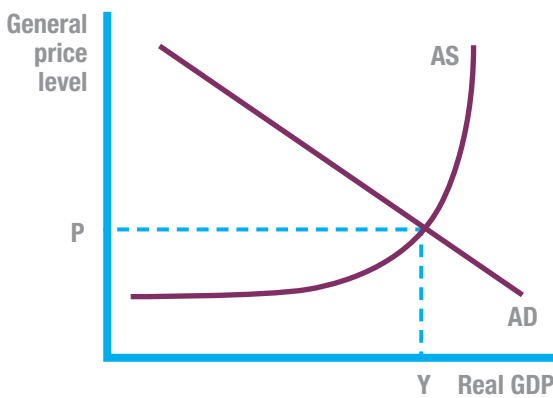
iv) The use of Forward Guidance to indicate to businesses and households that interest rates are unlikely to rise further in the next 12 months



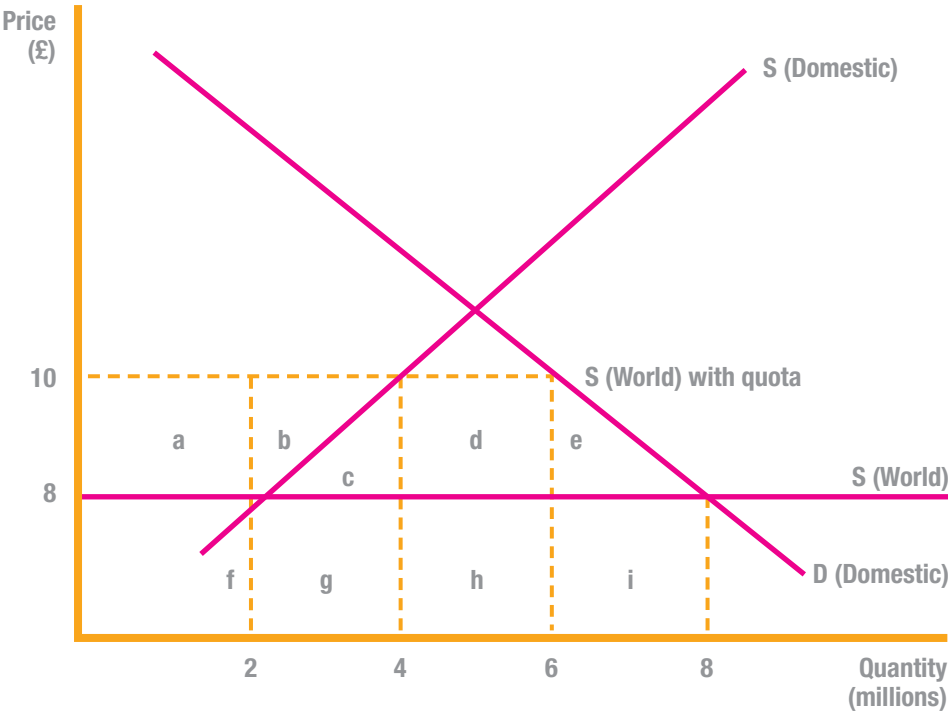
v) The government introduces a Funding for Lending scheme, in which small businesses find it easier to gain access to credit from banks



vi) The government decides to reduce the supply of narrow money in the economy



This diagram shows the market for sweatshirts, with a quota being imposed to limit imports to 2 million units. Before the imposition of the quota, the equilibrium price was £8; after the quota the equilibrium price rises to £10



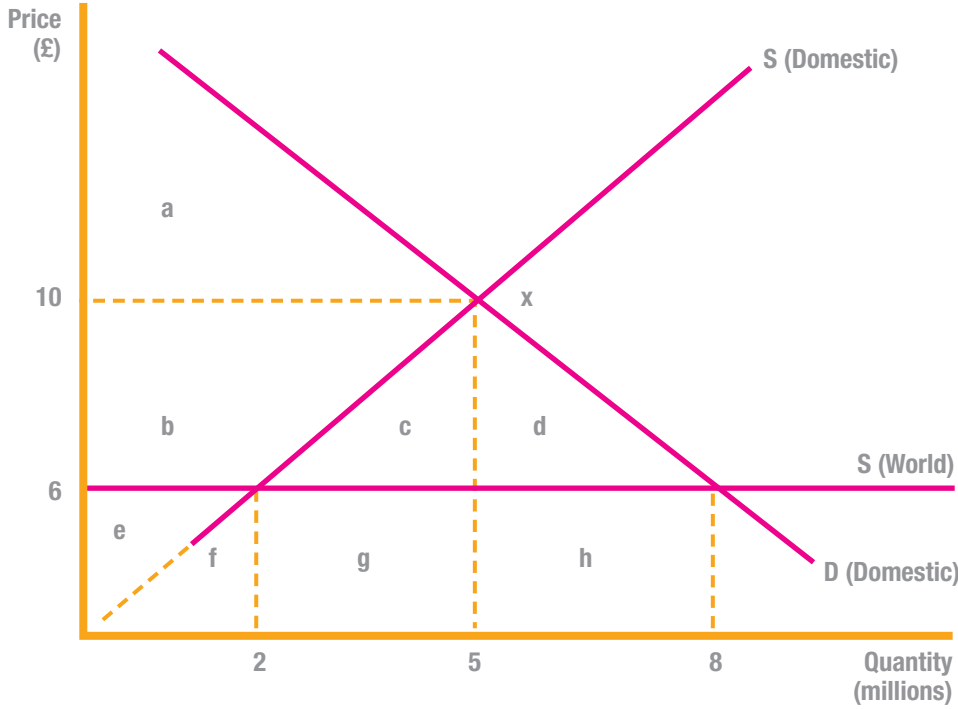
Make some detailed notes about the economic effects on each of these stakeholders:

Consumers

Domestic producers

Global producers (importers)

This diagram shows a market in which the product can be produced domestically, but only for £10 each. This domestic price is much higher than the price of imports, at £6 each



A Describe the areas on the diagram that represent

i) domestic consumer surplus

ii) domestic producer surplus

iii) the volume of imports

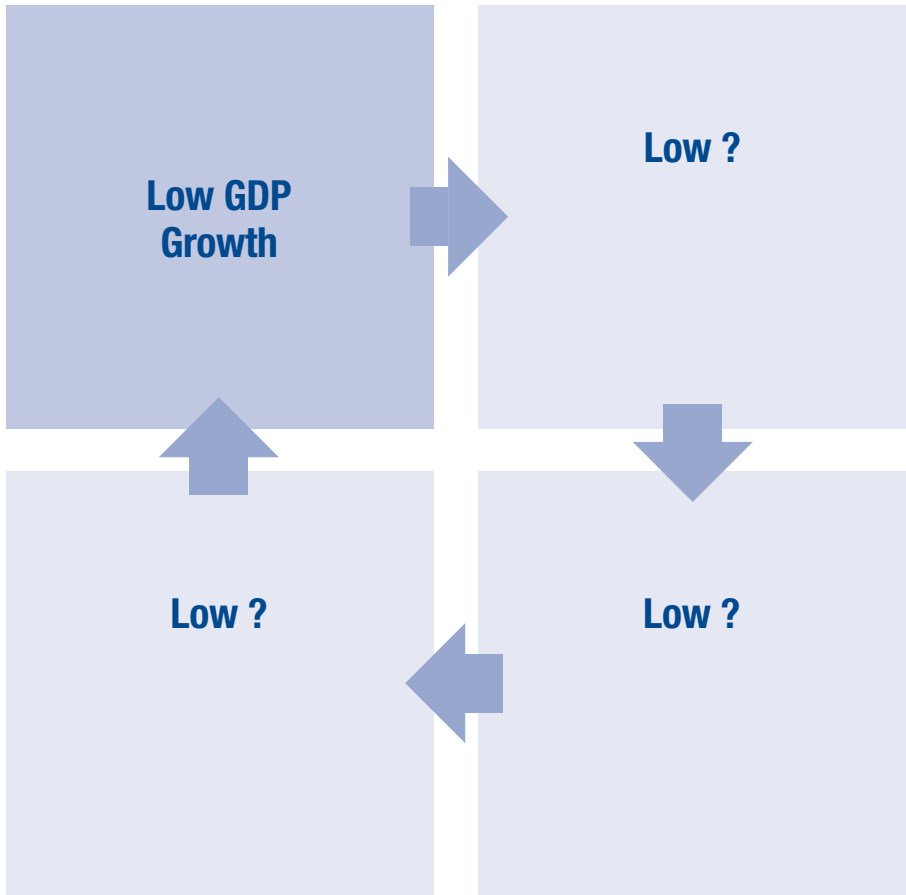
B Add a new Domestic Supply curve to show the effect of a government subsidy of £2 per unit paid to domestic producers

C On the diagram, shade in the total amount of subsidy that the government will pay to the industry

3

The Harrod-Domar model of development

Complete the labelling of this diagram showing the Harrod-Domar model



Which constraints on Growth and Development can be illustrated by using this model?

Add to the diagram to show how an injection of aid may help to overcome this constraint, and explain that effect of that aid on a country such as Honduras or Rwanda.

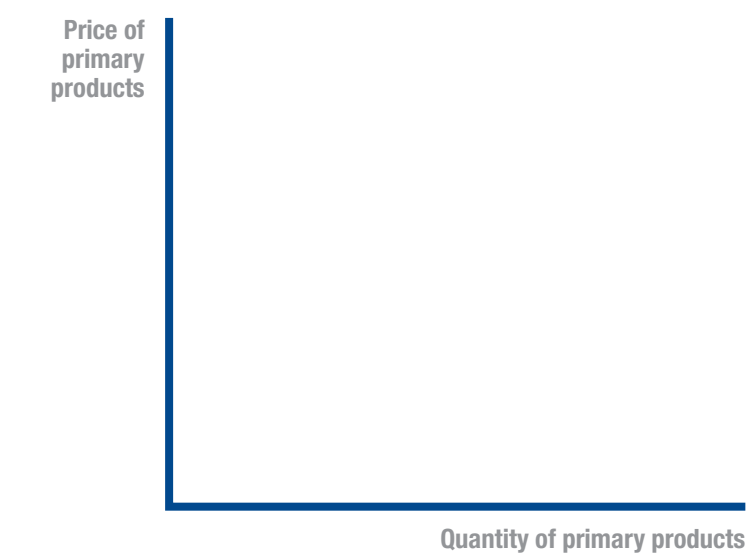
Explanation:

4

Factors influencing growth and development

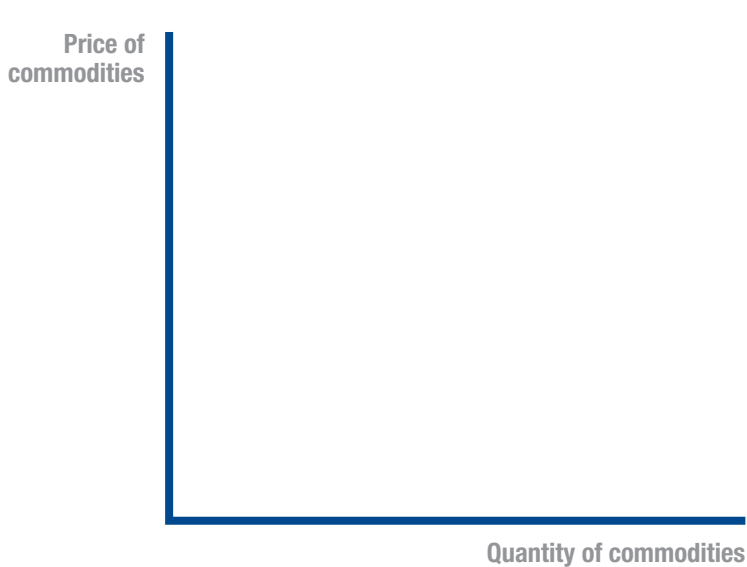
A

Many developing countries are highly dependent on primary products. Using your knowledge of price elasticity of demand and price elasticity of supply, use a demand and supply diagram to show why increasing specialisation in primary products can cause falling revenue in developing countries



B

Using the axes to the right, explain why commodities often have highly volatile prices



C

In the space below, explain why capital flight might occur in a developing economy. Then, on the axes to the right, show the effect of this on the economy of a developing economy

